

Liability and Tax Impact Worksheet

Use this worksheet to document the facts behind your entity direction. It organizes questions for qualified professional review; it does not calculate taxes or provide legal advice.

The five-layer protection system

1	LEGAL ENTITY Proper formation, maintenance, and state compliance.
2	SEPARATE FINANCES Dedicated banking and no commingling.
3	ACCURATE RECORDS Formation, ownership, contracts, and operating records.
4	INSURANCE Professional liability and other appropriate coverage.
5	COMPLIANCE CONTROLS Due diligence, security, review, and ethical conduct.

Where is my current protection system weakest?

Immediate protection actions

- ☐ Open or confirm separate business banking
- ☐ Organize formation and ownership records
- ☐ Request or review professional liability coverage
- ☐ Document due-diligence and review controls
- ☐ Confirm state formation and annual requirements

Connect legal form to federal treatment

Legal entity and federal tax classification are related, but they are not always the same decision.

Profile	General federal starting point	Operating considerations	Questions to review
Sole proprietor	Activity generally reported by owner; net earnings may face self-employment tax.	No separate legal entity; simplest administration.	Liability exposure, estimated taxes, records, insurance.
LLC	Classification depends on ownership and valid elections.	Maintain legal separation, banking, and state compliance.	Default classification, elections, state taxes and fees.
C Corporation	Separate federal taxpayer; shareholder distributions may add another tax layer.	Governance, compensation, benefits, retained earnings, distributions.	Projected income, compensation, distributions, state impact.
S Corporation election	Eligible items generally pass through to shareholders.	Eligibility, Form 2553, separate return, payroll, reasonable compensation.	Profit consistency, payroll cost, owner services, state treatment.

Tax-profile questions I need answered

Document the operating facts

Check the current status and add the evidence or next action that supports your answer.

Client and professional exposure

☐ Moderate	☐ High	☐ Not yet assessed
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Separate finances

☐ Planned	☐ Established	☐ Not yet established
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Professional insurance

☐ Active	☐ Under review	☐ Not yet started
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Owner compensation

☐ Draws or distributions under review	☐ Payroll and reasonable compensation under review	☐ No plan yet
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Projected profit consistency

☐ Early-stage or uncertain	☐ Moderately predictable	☐ Documented and consistent
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State treatment

☐ Official source or professional reviewed	☐ In progress	☐ Not yet reviewed
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Facts or documents that support this map

Turn the impact map into decisions

Bring this page, the Day 1 and Day 2 worksheets, projections, and official state information to a qualified professional.

Where does my current legal structure protect me, and where does personal responsibility remain?

What insurance limits and exclusions should I evaluate?

How would each federal tax profile affect reporting, payroll, compensation, and cash flow?

Does an S Corporation election fit my projected profit and owner-service facts?

What state taxes, fees, elections, or recognition rules apply?

MISSION STANDARD

Do not form an entity or make a tax election until current federal and state requirements have been verified and advice appropriate to your facts has been obtained.

Professional consulted / official source reviewed
